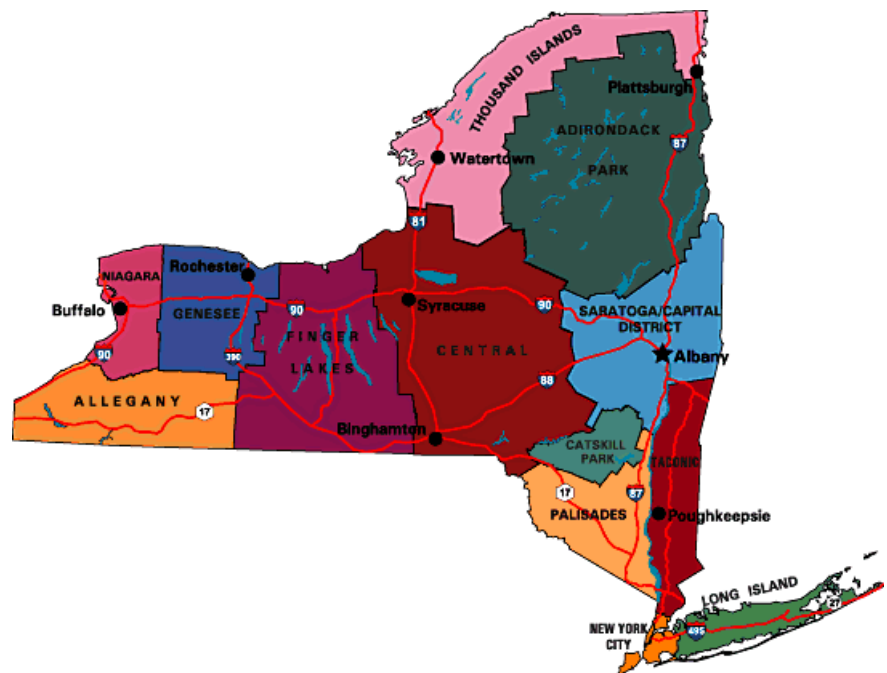


Adirondacks (A) – With Private Information for Global Pulp and Paper, Inc.

The first section of this case is public information available to all parties. The second section contains private information available only to your role. The case is patterned after an actual negotiation although names and some facts have been changed.

Background

Global Pulp and Paper, Inc. (GPP) is a large forest products company based in Canton, Ohio. Facing stiff global competition, GPP is restructuring in an attempt to cut production costs. As part of this effort, they recently closed the Lake George, New York mill, 60 miles north of Albany. This leaves the company's Crown Point, New York mill, 120 miles north of Albany, as the only location for processing timber cut on GPP owned land in Adirondack Park.



New York State

As described by the New York State Adirondack Park Agency, “The Adirondack Park was created in 1892 by the State of New York amid concerns for the water and timber resources of the region. Today the Park is the largest publicly protected area in the contiguous United States, greater in size than Yellowstone, Everglades, Glacier, and Grand Canyon National Park combined. The boundary of the Park encompasses approximately 6 million acres, nearly half of which belongs to all the people of New York State and is constitutionally protected to remain “forever wild” forest preserve. The remaining half of the Park is private land which includes settlements, farms, timber lands, businesses, homes, and camps. ...

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

“The heart of the Adirondack Park is the Forest Preserve, which was created by an act of the Legislature in 1885 which stated, “The lands now or hereafter constituting the Forest Preserve shall be forever kept as wild forest lands. They shall not be sold, nor shall they be leased or taken by any person or corporation, public or private.” The state of New York owns approximately 43 percent, or roughly 2.6 million acres of land within the Park’s boundaries. The remaining private lands are devoted principally to forestry, agriculture, and open space recreation. The Adirondack Park is unique in its intricate mixture of public and private lands. About 130,000 people live here year round in its 105 towns and villages. ...

“In order to identify and protect the natural resources of the Park, all parcels and lots of land, in both the private and public sectors, are classified... The largest single category of land (totaling 1.3 million acres) is Wild Forest, where a variety of outdoor recreation activities are allowed. Other categories of State Lands are: Primitive and Canoe areas; Intensive Use areas (such as public camp grounds), and State Historic Sites. ...The Adirondack Park Land Use and Development Plan also applies to the remaining 3.4 million acres of private land in the Park. The Plan is designed to conserve the Park’s natural resources and open-space character by directing and clustering development so as to minimize its impact on the Park. Under the Plan, all private lands are mapped into six land use classifications: hamlet, moderate intensity use, low intensity use, rural use, resource management, and industrial use. Guidelines are specified for the intensity of development within each category, based on number of buildings per square mile. Projects of regional significance usually require a permit from the Adirondack Park Agency.”¹

In recent years, the Adirondack Park Agency has come under increasing pressure to protect and expand the wilderness character of the Park. At the same time, there are pressures for more economic activity: The 2001 per capita income of permanent residents of the Park averaged just \$22,233 compared to \$36,449 for New York State as a whole.

As part of their effort to cut production costs, GPP has proposed allowing conservation easements on 257,000 acres of land the company owns within Adirondack Park. Now the primary form of land conservation in the U.S., a conservation easement is a legal agreement between a landowner and government or land trust that limits a land’s use, for both present and future owners. GPP wants to continue lumbering the land but will accept some restrictions, to be negotiated. In exchange, the company requests \$50 million plus a 37% reduction in property taxes on the land. GPP has indicated that, absent a mutually satisfactory agreement on the easements, it will have to consider selling the property, something that could lead to its subdivision and ultimate commercial or residential development.

The 257,000 acres of forests includes some of the most beautiful territory in the Adirondacks. Every major forest type in the Park finds representation, from spruce and fir forest in the north, to birch, oak and other hardwoods forests in the south. The property includes nearly all of GPP’s Park holdings, and represents 9% of privately owned forest land in the Park. The 257,000 acres are scattered over 21 tracts of land, spanning 34 towns in 9 state counties. A deal would double the amount of easement protected acreage in the Park. So the use of this land affects many Park residents and businesses, as well as Park visitors.

¹ From the Agency’s website, http://www.apa.state.ny.us/About_Park/more_park.html, October 12, 2004.

Parties to the negotiation

Given the competing interests involved, the Adirondack Park Agency has stipulated that it will issue a permit for GPP's proposal only if GPP can show "broad public support" for the plan. There are a number of other parties interested in 257,000 acres of Adirondack forest and GPP's plans for them. The five most significant are:

Forest Conservation Committee (FCC): This environmental interest group is dedicated to protecting the nation's forests from logging and development. They are concerned that if logging and development are allowed to continue within Adirondack Park, it will destroy the natural environment there.

Adirondack Logging Association (ALA): The ALA is the professional association for over 85% of the independent logging businesses in the Adirondack area. Their membership is contracted by GPP to cut timber for the Crown Point mill. They are interested in allowing logging to continue within the park so jobs will stay in the area.

Adirondack Tourism Board (ATB): The ATB represents the majority of tourism based businesses in the Adirondack region. They are interested in maintaining and developing the park to convince people to visit the area. By doing so, they intend to keep jobs in the area.

Forest Legacy Program of the U.S. Federal Government: This division of the U.S. Department of Agriculture funds state efforts to protect environmentally sensitive forest lands. To maximize the program's public benefits, it focuses on the acquisition of privately owned forest lands.

Governor Sebenius of New York State: Governor Sebenius, in his first term of office, won election pledging that "robust economic growth and conservation go hand-in-hand."

The issues

By way of facilitating a broad consensus, GPP has entered talks with the parties mentioned above. These discussions have produced five issues that concern all or most of the parties. The general issues are described below, with further information in each party's private information.

Type of Logging Allowed

GPP presently has the right to clear cut (remove all trees) on all 257,000 acres. Both the FCC and ATB have objections to this. As a result, three different options have emerged:

1. Clear Cut – Removing all trees from large areas of the easement.
2. Sustainable Cutting, with Roads – Cutting selected trees is allowed, but the number and location is controlled. With this version the use of logging roads is allowed.
3. Sustainable Cutting, No Roads – As above, the cutting of selected trees is allowed; however, no logging roads can be used. This decreases the environmental impact.

Public Use

Presently, most of the GPP land is off limits to public use. There is controversy over whether the land should be opened to wider recreational use. Recreation potentially stresses the eco-system. Mechanized vehicles have many enthusiasts but with conservationists generally against them. Three options are being discussed.

1. Wilderness – No development of any kind is allowed, not even hiking trails. This keeps the land in pristine condition and fully protects the ecosystem.
2. Recreation – Recreational development allows the construction of hiking, mountain biking, skiing and horseback riding trails. Would also allow fishing and hunting in some areas. Furthermore, it invites the public to use these recreational features.
3. Mechanized vehicles – Includes all activities in option 2 plus snowmobiling and ATV (all terrain vehicle) use.

Logger Safety

According to the Department of Labor, logging is the most hazardous profession in the United States. While GPP hires independent loggers to cut the trees, fulfilling job safety requirements, is ultimately GPP's responsibility. Four options for logging safety have been discussed.

1. Exceed OSHA (Occupational Health and Safety Administration) Standards – GPP would be responsible for providing safety systems and standards that go above and beyond the current government standards.
2. Improve on OSHA Compliance – GPP would begin with full OSHA compliance and put a plan in place to improve the system over time.
3. Full OSHA Compliance – GPP would fully comply with all applicable OSHA regulations.
4. Basic OSHA Compliance – Safety standards would comply with the letter of OSHA regulations.

Land Price

The Federal Government's Forest Legacy Program will have to put up any money tendered for the easements. The price is still to be determined; price levels include

1. \$50 million
2. \$25 million
3. \$10 million
4. No cost, the land would be donated by GPP

Tax Breaks

In addition to cash, GPP is looking for a break on the local property taxes it pays on the land. New York State would have to reimburse local governments for any break that is given. While the final reduction still needs to be decided upon, there are five possibilities on the table (the figures represent the percentage reduction in the current tax rate).

1. 0% - No tax reduction for GPP
2. 5%
3. 15%
4. 25%
5. 37%

Mechanics of the Negotiation

The Adirondack Park Agency has stipulated that, in this case, “broad” public support means getting at least five of the six parties to agree to all the stipulations in the deal. So any two parties together can block a deal. In addition, any agreement need satisfy these stipulations: GPP’s consent is necessary to any deal. The Forest Legacy Program must approve of any deal that tenders money for the land. The Governor must approve any deal that grants tax breaks. And the agreement should stick to the options listed above (do not make up new issues or options).

To facilitate this matter, the Governor has arranged for all six parties to meet in Albany, New York. The agenda allots 45 minutes for a meet-and-greet, during which parties make introductions and hold preliminary discussions. A sit-down meeting of all participants, run by the Governor’s office, follows, with breaks as necessary. At the end of the meeting, GPP must conduct a formal up-or-down vote on a full proposal addressing all the issues, and all parties are to be polled. If the meeting ends without formal approval of a proposal, GPP’s request is denied. The Governor stated that the meeting’s outcome is the final word on this matter.

Private Information for Global Pulp and Paper, Inc.

This negotiation is highly important to us. Due to changes in the global marketplace we need to reduce costs while maintaining our ability to produce products quickly and cheaply.

Scoring: You will be our negotiator. To help you plan your strategy, a scoring system has been devised to identify which issues are most important to us. The scoring system provides a method to combine several issues, and this permits an explicit comparison of different proposals. Negotiating the most preferred outcomes for each of the five issues scores 100 points, whereas negotiating the least preferred set of outcomes scores 0 points. All other deals score between 100 and 0.

We should agree to the project only if it is worth at least 45 points to us. Any less and we would be better off investing our time and resources to other areas. Your job, as negotiator, is to maximize the total score we receive given that disagreement is worth 45 points.

Land Price: This is the most important issue to us. Due to an unanticipated sales shortfall we need this inflow of cash to protect our bottom line. The greater the price we can get, the better. To this end we have assigned the following points to the issue:

- \$50 million payment = 35 points
- \$25 million payment = 29 points
- \$10 million payment = 20 points
- No payment (we donate the land) = 0 points

Tax Breaks: This is almost as important to us as the amount we are paid for the land. Since any reduction in taxes improves our bottom line, we are looking for the greatest tax breaks possible. Based on previous discussions with the Governor we know the maximum tax break possible is 37%. We have assigned the following points to the issue:

- 0% tax break = 0 points
- 5% tax break = 5 points
- 15% tax break = 17 points
- 25% tax break = 25 points
- 37% tax break = 30 points

Logger Safety: While safety is an important issue to us, we believe that it is the loggers' responsibility to provide proper safety equipment, procedures, and training. Based on this position, we oppose any additional safety burden placed on us. Also, the cost of providing additional safety measures above and beyond the minimum required OSHA regulations greatly increases our operating costs. We have assigned the following points to the issue:

- Exceed OSHA Standards = 0 points
- Improve on OSHA Compliance = 5 points
- Full OSHA Compliance = 10 points
- Basic OSHA Compliance = 17 points

Type of Logging Allowed: In order to increase our production rates we are concerned about what type of logging is allowed. GPP prefers allowing loggers to clear cut forests on our land since this ensures a predictable flow of materials to our mill, and it is also the safest kind of logging. Granted, other forms of cutting are viable to produce an adequate supply of raw materials. Therefore we have assigned the following points to the issue:

- Clear Cutting = 14 points
- Sustainable Cutting, with roads = 8 points
- Sustainable Cutting, no roads = 0 points

Public Use: Given that the state will be assuming liability, GPP does not have a strong preference on how the land is used. On balance, we would prefer the land be used for recreation since this will open it to use by our employees. Mechanized vehicles tend to degrade logging roads. We assigned the following points to the issue:

- Wilderness = 2 points
- Recreation = 4 points
- Mechanized Vehicles = 0 points

A scoring sheet has been attached to summarize the scoring system. Make sure you fill out the results of each round of voting on the sheet. **Remember our walk away is 45 points.** Also, remember that this information is CONFIDENTIAL! Do not show your scoring sheet to any of the other parties involved in the negotiation. Good Luck and we are confident in your abilities.